

Your Dentist Is Rich, Very Rich

We close this chapter with a hint on the next discussion of resistance to randomness. Recall that Nero can be considered prosperous but not “very rich” by his day’s standards. However, according to some strange accounting measure we will see in the next chapter, he is extremely rich *on the average of lives* he could have led – he takes so little risk in his trading career that there could have been very few disastrous outcomes. The fact that he did not experience John’s success was the reason he did not suffer his downfall. He would be therefore wealthy according to this unusual (and probabilistic) method of accounting for wealth. Recall that Nero protects himself from the rare event. Had Nero had to relive his professional life a few million times, very few sample paths would be marred by bad luck – but, owing to his conservatism, very few as well would be affected by extreme good luck. That is, his life in stability would be similar to that of an ecclesiastic clock repairman. Naturally, we are discussing only his professional life, excluding his (sometimes volatile) private one.

Arguably, *in expectation*, a dentist is considerably richer than the rock musician who is driven in a pink Rolls Royce, the speculator who bids up the price of impressionist paintings, or the entrepreneur who collects private jets. For one cannot consider a profession without taking into account the average of the people who enter it, not the sample of those who have succeeded in it. We will examine the point later from the vantage point of the survivorship bias, but here, in Part I, we will look at it with respect to resistance to randomness.

Consider two neighbors, John Doe A, a janitor who won the New Jersey lottery and moved to a wealthy neighborhood, compared to John Doe B, his next-door neighbor of more modest condition who has been drilling teeth eight hours a day over the past 35 years. Clearly one can say that, thanks to the dullness of his career, if John Doe B had to relive his life a few thousand times since graduation from dental school, the range of possible outcomes would be rather narrow (assuming he is properly insured). At the best, he would end up drilling the rich teeth of the New York Park Avenue residents, while the worst would show him drilling those of some semi-deserted town full of trailers in the Catskills.

Furthermore, assuming he graduated from a very prestigious teeth-drilling school, the range of outcomes would be even more compressed. As to John Doe A, if he had to relive his life a million times, almost all of them would see him performing janitorial activities (and spending endless dollars on fruitless lottery tickets), and one in a million would see him winning the New Jersey lottery.

The idea of taking into account both the observed and unobserved possible outcomes sounds like lunacy. For most people, probability is about what may happen in the future, not events in the observed past; an event that has already taken place has 100% probability, i.e., certainty. I have discussed the point with many people who platitudinously accuse me of confusing myth and reality. Myths, particularly well-aged ones, as we saw with Solon’s warning, can be far more potent (and provide us with more experience) than plain reality.